# GMS WEEKLY

Your Source for Recycling News

December 2nd, 2022
Volume 245, Issue 1059
*Week 48*


**Highlights:**

- **Ambling.**
- **200/LDT decline.**
- **No finance.**
- **Pak tentative.**
- **Muted end to year.**
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QUOTE of the WEEK

**"The standard you walk past, is the standard you accept."**

*– David Hurley*

## MARKET COMMENTARY

### NO IMPETUS!

Recycling markets are ambling towards the end of the year without any real impetus, ability, aggression, or even an apparent willingness to engage in discussions to buy, so volatile has the situation been over the last 2 quarters.

Prices have of course come off by about USD 200/LDT in the sub-continent markets since the stunning peaks witnessed over USD 700/LDT just earlier this year – for reference, on a standard Capesize Bulker, that is over USD 4 million lost on the residual value alone!

Bangladesh still remains largely absent on the buying front with a majority of Buyers unable to get central bank financing to open fresh Letters of Credit. There is also talk of the shortage of U.S. Dollars in the country easing once the they can agree to an IMF loan, but we are unlikely to see any clarity on this until early next year (at best). As such, Chattogram seems like it would be unavailable for the remainder of this year.

After the collapse of the currency and the government, Pakistan has yet to fully find their feet again and most End Buyers are extremely tentative and reticent in their offerings, leaving the market mostly a nonevent.

This really leaves only India as a viable sub-continent destination, which itself has endured turbulent times as the currency has once again depreciated into the high Rs. 81 against the U.S. Dollar, while local steel prices gained ground after last week's volatile plummet, especially after the recent reduction in export duties on steel products.

Turkey on the far end remains lost, with levels of its own having plummeted about USD 250/MT and fundamentals still hampering any sort of recovery, amidst a pinching shortage of any tonnage.

It is therefore likely to be a bleak and muted end to the year, with some desperately needed stability on currencies, finance limits and steel plate prices, in order to bring nervous end buyers back to the table.

For week 48 of 2022, GMS demo rankings / pricing for the week are as below.

| Demo Rank | Location | Sentiment | Dry Bulk USD / LDT | Tankers USD / LDT | Containers USD / LDT |
|---|---|---|---|---|---|
| 1 | India | Weak | 520 / LDT | 530 / LDT | 540 / LDT |
| 2 | Pakistan | Weak | 510 / LDT | 520 / LDT | 530 / LDT |
| 3 | Bangladesh | Weak | 500 / LDT* | 510 / LDT* | 520 / LDT* |
| 4 | Turkey | Weak | 240 / LDT | 250 / LDT | 260 / LDT |

**Subject L/C approval*

# BANGLADESH

## GRAVE CONCERNS!

*Lacking dollars.*

The lack of financing in Bangladesh remains of grave concern, with most End Buyers unable to receive the relevant L/C approvals from the government, in order to buy fresh units.

An injection of U.S. Dollars into the country (as a result of an impending IMF loan to the country) may ease the ongoing liquidity crisis, but nobody in the industry is expecting a quick fix if this happens.

*Waving goodbye.*

On the local fundamentals front, the Bangladeshi Taka continues to jostle around the BDT 100.4 mark, while local steel plate prices recorded no movements this week.

Chattogram Buyers have therefore spent another week watching the slim pickings of vessels head to competing markets, as clearly evident by local port position this week, with only one small LDT tanker having reportedly arrived the waterfront this week.

**NO MARKET SALES REPORTED**

# INDIA

## LOOKING UP!

After last week's plummet in steel plate prices, India has had a more positive week this week, as steel prices have come rebounding back to recover in excess of USD 26/Ton.

*Recovering.*

At first, it was curious to see steel plate prices improve after the announcement two weeks ago that export duties on iron and steel products would be reduced, only to see most of those gains lost over the subsequent week.

Even the Rupee continues to jostle in the Rs. 81.X against the U.S. Dollar, leaving the local market with a seeming sense of (newfound) stability – despite the record lows seen on the currency.

*Completely empty.*

As such, local port position has been the most drastically empty it has been in a while, with no new vessels arriving this week and the last of the tonnage from earlier weeks, finally being delivered to Alang Buyers.

Should no fresh tonnage arrive next week, it would likely one of the few times that India's port position would be completely empty.

**NO MARKET SALES REPORTED**

# PAKISTAN

## YET TO FIND FEET!

*Sentiments shattered.*

Pakistani Buyers have yet to really find their feet, with sentiments shattered after the excessive losses suffered on ship prices so far this year.

Of course, the political and financial situation in the country remains similarly bleak, so it is perhaps of little surprise to see Gadani Buyers extremely reluctant to make anywhere near sensible or realistic offers for the few vessels being proposed for recycling.

*Focus away.*

Local steel plate prices have declined about USD 15/Ton this week, as the currency continues to languish in the mid PKR 223 against the U.S. Dollar.

As such, the focus has therefore fallen mostly on India, with Bangladesh also out of the picture due to the dire lack of financing available in the country, and all will be hoping for some greater stability and demand across the board in the sub-continent to fill empty plots again in the new year.

**NO MARKET SALES REPORTED**

# TURKEY

## MEDLEY OF NOTHING!

The Turkish market continues its unremitting trudge through its ongoing recycling saga, as Aliaga yards remain deprived of meaningful (market) tonnage. While in passing, news and rumours of local beachings of off market small LDT units would surface, even those have virtually vanished over the recent months.

*Small LDT.*

On the local fundamentals front, import steel improved marginally again by USD 10/MT this week, while the Lira seems to have entered a state of stasis as it jiggles around the mid TRY 18.6X against the U.S. Dollar.

With trading markets still performing well, it remains to be seen how long this lack of tonnage can keep this market moving further.

*Moving further.*

**NO MARKET SALES REPORTED**

# INTERESTING FACTS

- *Nikola Tesla hated pearls. The electrical engineer paved the way for current system generators and motors; the way electricity gets transmitted and converted to mechanical power is thanks to his inventions. But despite his patience with scientific experimentation, he apparently had no tolerance for pearls. When his secretary wore pearl jewelry one day, he made her go home.*
- *Thomas Edison is the reason you love cat videos. After inventing the kinetograph in 1892, Edison was able to record and watch moving images for the first time. He filmed short clips in his studio, some of which feature famous people like Annie Oakley and Buffalo Bill. But the real stars of these early videos are the Boxing Cats—adorable cats that he recorded in a boxing ring circa 1894.*
- *Brad Pitt suffered an ironic injury on a film set. In Troy, based on Homer's Illiad, Pitt plays the brave (and buff) Greek hero Achilles. Legend has it that Achilles could not be defeated unless hit in his heel. (It's where we get the term "Achilles' heel," meaning a vulnerable point.) While filming an epic battle scene, Pitt ironically hurt his Achilles tendon—an injury that set back the film's production by two months.*

## IMPORTANT DATES

| INDIA | |
|---|---|
| **BANK HOLIDAYS** | **BEACHING TIDES** |
| December 25 – Christmas | December 05 – December 13<br>December 2- December 29 |

| BANGLADESH | |
|---|---|
| **BANK HOLIDAYS** | **BEACHING TIDES** |
| December 16 - Victory Day<br>December 25 – Christmas<br>December 31 – Bank Holiday | December 06 – December 09<br>December 23 – December 26 |

| IMPORTANT BANK HOLIDAYS | | |
|---|---|---|
| **CHINA** | **PAKISTAN** | **TURKEY** |
| **No holidays in December** | December 25 – Quaid-e-Azam Day | **No holidays in December** |

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## ALANG - Port Position as of December 02, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| *1* | *Arius* | *22,728* | *Passenger Vessel* | *Beached November 26* |
| *2* | *Gem* | *22,372* | *Passenger Vessel* | *Beached November 26* |
| **Total Tonnage** | | **45,100** | | |

## CHATTOGRAM - Port Position as of December 02, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| **1** | **Ariana** | **15,672** | **Tanker** | **Arrived June 22** |
| **2** | **Gala** | **16,885** | **Tanker** | **Arrived February 28** |
| *3* | *Shintanegashima* | *1,525* | *RoRo / Cargo* | *Beached November 29* |
| 4 | Viva | 3,065 | Tanker | Arrived november 22 |
| **5** | **Winton T128** | **975** | **Bulk Carrier** | **Arrived June 23** |
| **Total Tonnage** | | **38,122** | | |

## GADANI - Port Position as of December 02, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| 1 | Changi | 9,824 | Bulk Carrier | Arrived December 01 |
| **Total Tonnage** | | **9,824** | | |

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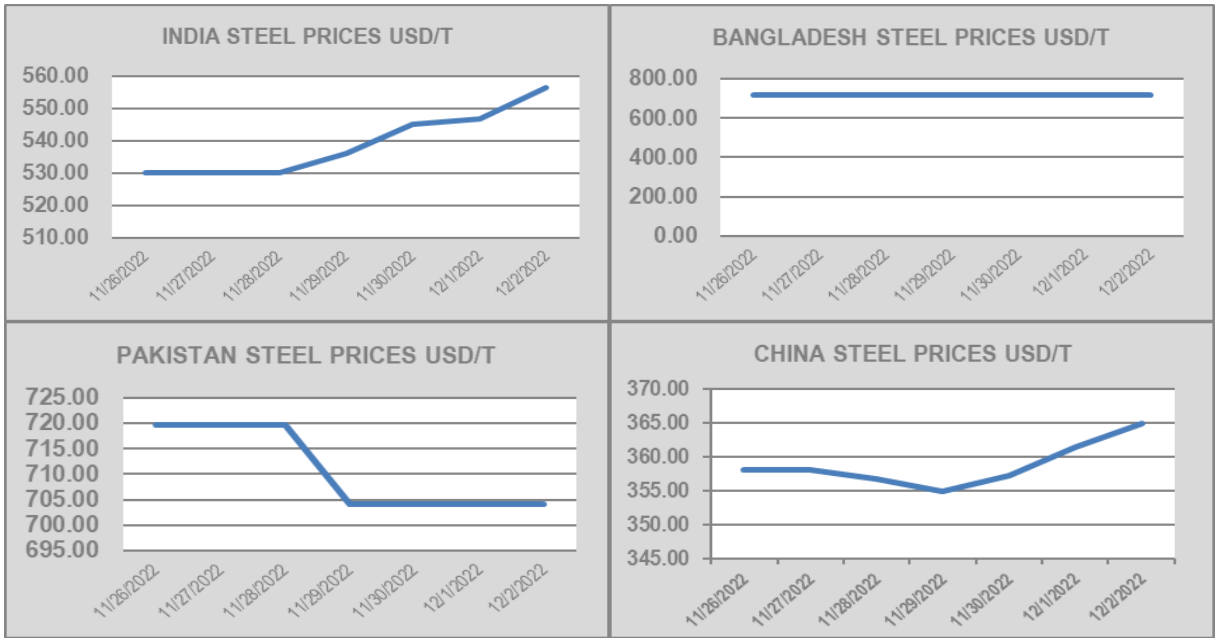
# Steel Plate Prices

| DATE | INDIA STEEL PRICES USD/T | INDIA STEEL PRICES | PAKISTAN STEEL PRICES USD/T | PAKISTAN STEEL PRICES | BANGLADESH STEEL PRICES USD/T | BANGLADESH STEEL PRICES | CHINA STEEL PRICES USD/T |
|---|---|---|---|---|---|---|---|
| 11/26/2022 | 530.12 | 43,300.00 | 719.59 | 160,000.00 | 720.00 | 72,000.00 | 358.15 |
| 11/27/2022 | 530.12 | 43,300.00 | 719.59 | 160,000.00 | 720.00 | 72,000.00 | 358.15 |
| 11/28/2022 | 530.18 | 43,300.00 | 719.59 | 160,000.00 | 720.00 | 72,000.00 | 356.76 |
| 11/29/2022 | 536.04 | 43,800.00 | 704.10 | 158,000.00 | 720.00 | 72,000.00 | 354.92 |
| 11/30/2022 | 545.32 | 44,400.00 | 704.10 | 158,000.00 | 720.00 | 72,000.00 | 357.40 |
| 12/1/2022 | 546.66 | 44,400.00 | 704.10 | 158,000.00 | 720.00 | 72,000.00 | 361.53 |
| 12/2/2022 | 556.65 | 45,200.00 | 704.10 | 158,000.00 | 720.00 | 72,000.00 | 365.03 |

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